



dino
najbliżej Ciebie

1H 2017
Financial results
30th August 2017

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Our achievements in 1H 2017



+49 stores
(+38 in 2Q 2017)



+27.7% store pipeline y-o-y



+14.7% LFL y-o-y
(+16.5 in 2Q 2017 y-o-y)



+31.6% sales y-o-y
(+34.1% in 2Q 2017 y-o-y)



+0.2pp gross margin y-o-y
(+0.02pp in 2Q 2017 y-o-y)

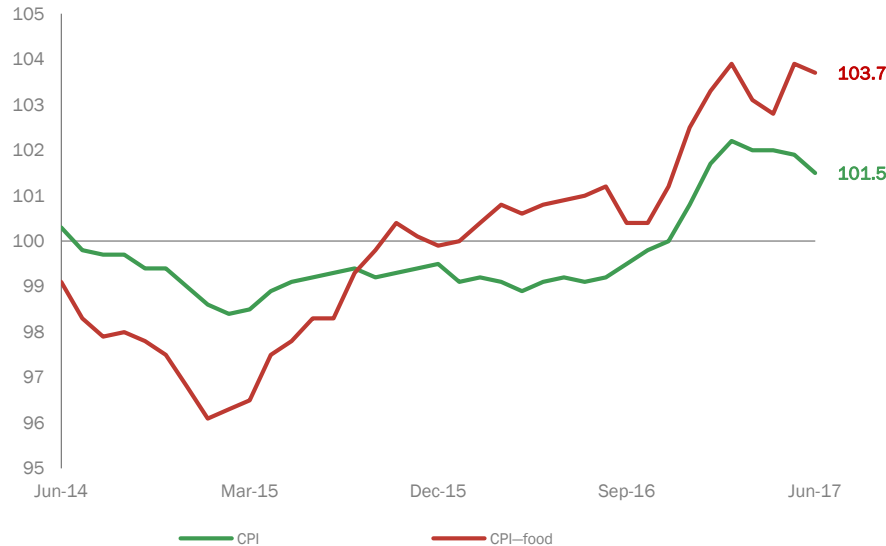


+37.3% EBITDA¹ y-o-y
(+43.8% in 2Q 2017 y-o-y)

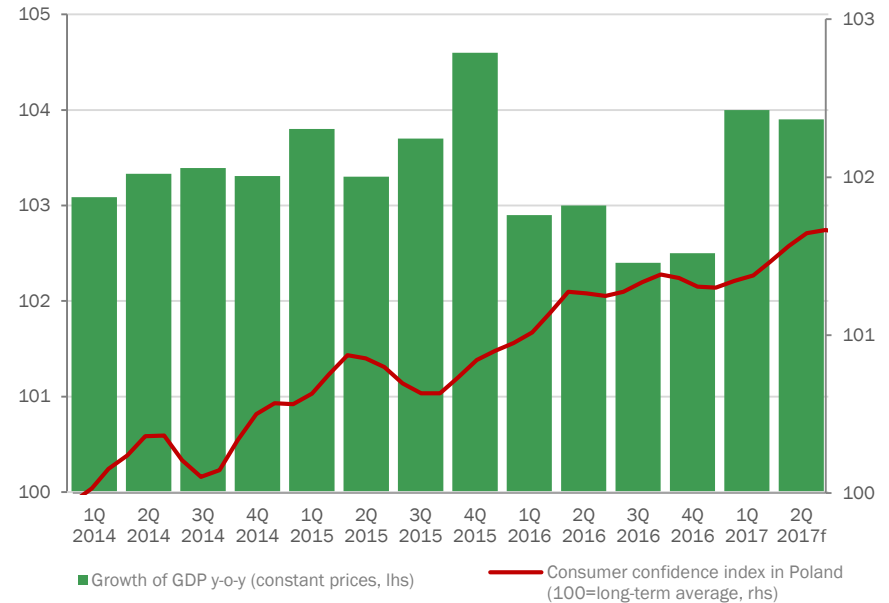
Supportive market conditions

Recovering inflation

Inflation in Poland



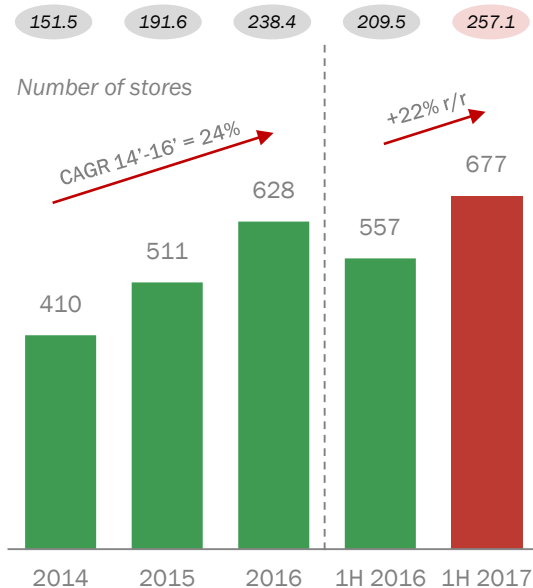
Growth of GDP and improvement in consumer sentiment



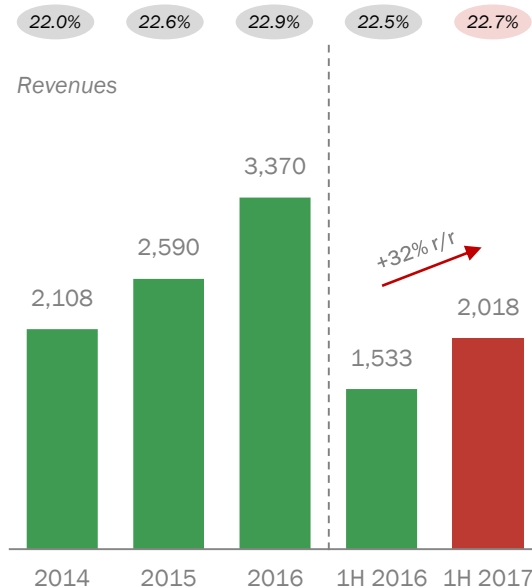
Source: Central Office of Statistics (GUS); Organisation for Economic Co-operation and Development

Operational & financial highlights

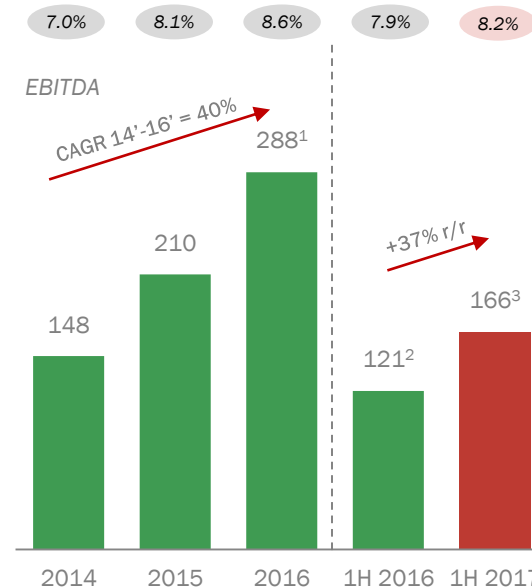
Number of stores and sales area ('000 sqm)



Sales dynamics (PLNm) and gross margin



EBITDA (PLNm) and margin



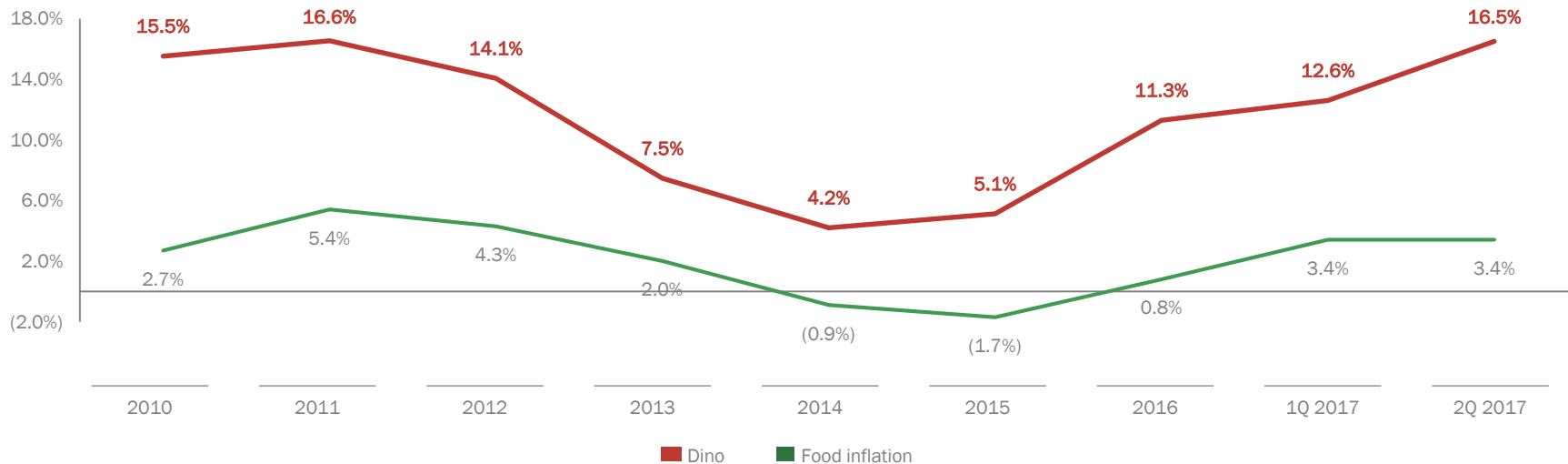
Source: Company financial statements

Notes:

1. Adjusted for the IPO-related one-off expenses of PLN7.5m
2. Adjusted for the IPO-related one-off expenses of PLN1.1m
3. Adjusted for the IPO-related one-off expenses of PLN12.3m (of which PLN7.5m non-cash)

Delivering leading LFL growth

Annual
Inflation
(deflation) %



Source: Company information, Central Office of Statistics (GUS)

Revenues

Dynamic revenues growth

LFL growth (%)

8.4

12.0

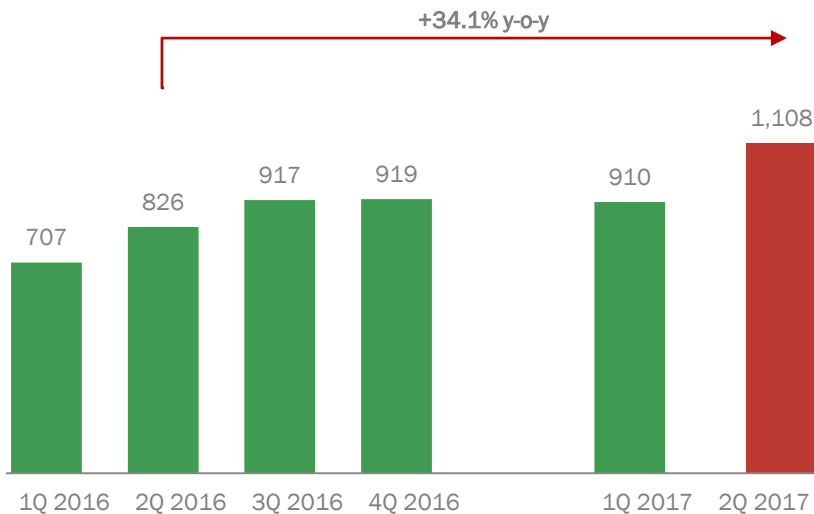
10.8

13.5

12.6

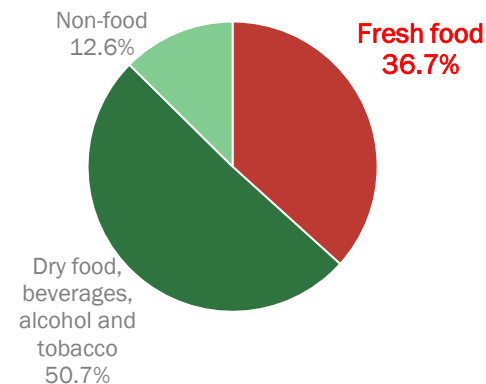
16.5

Revenues (PLNm)



Sales mix

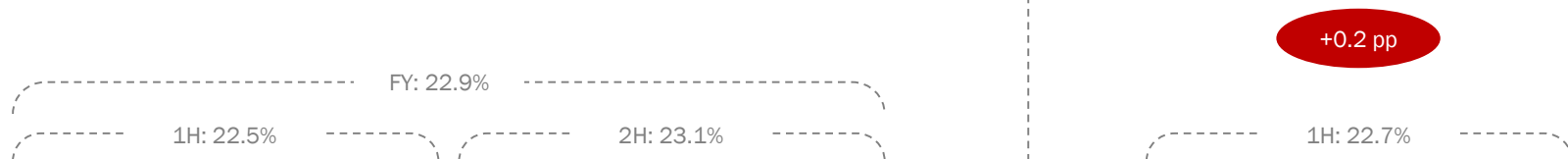
Product split by revenue (2Q 2017)



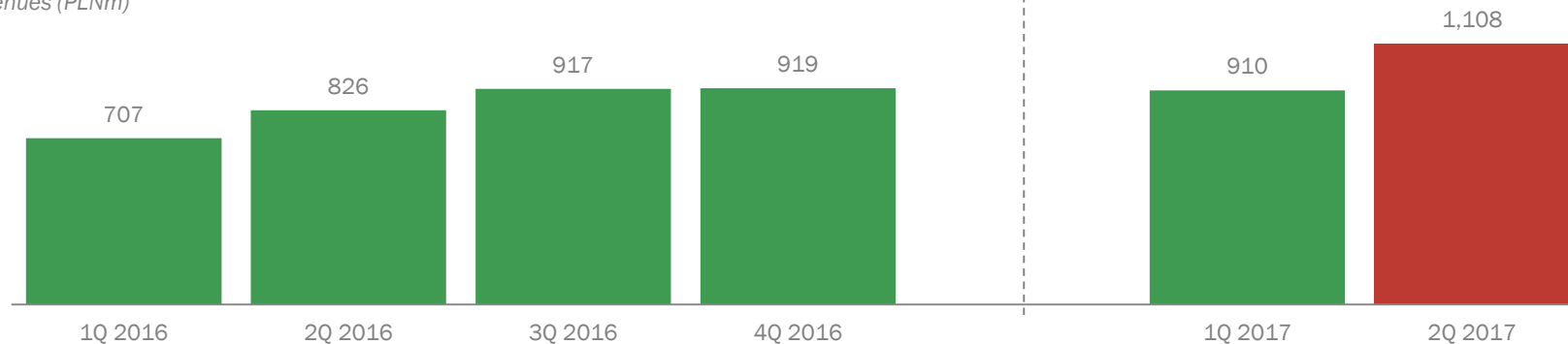
Gross margin

Steady increase in gross margin

Gross margin



Revenues (PLNm)

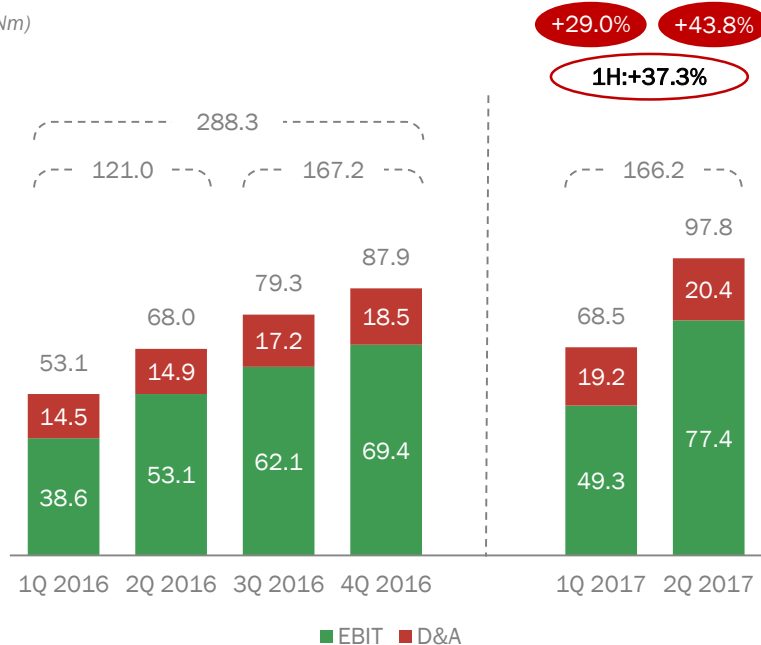


Source: Company financial statements

EBITDA¹

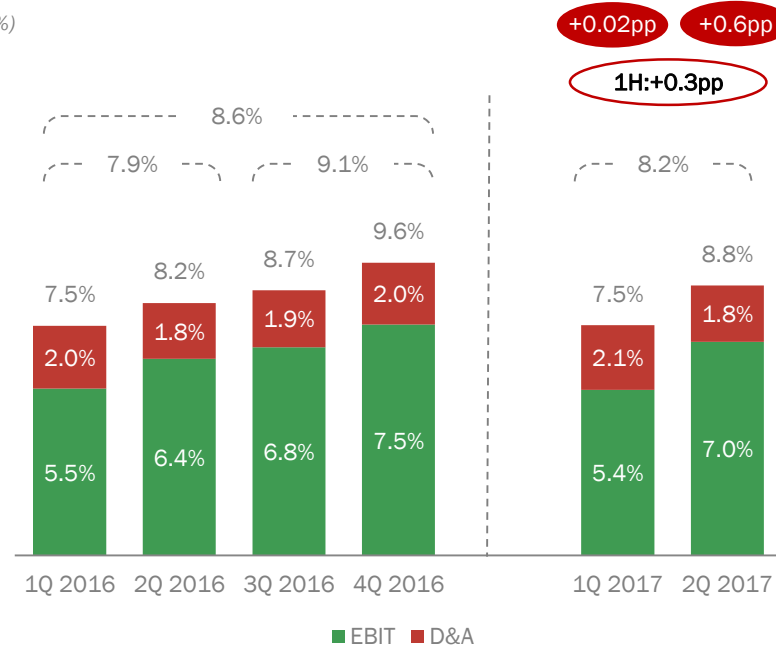
EBITDA growth

(PLNm)



EBITDA margins

(%)

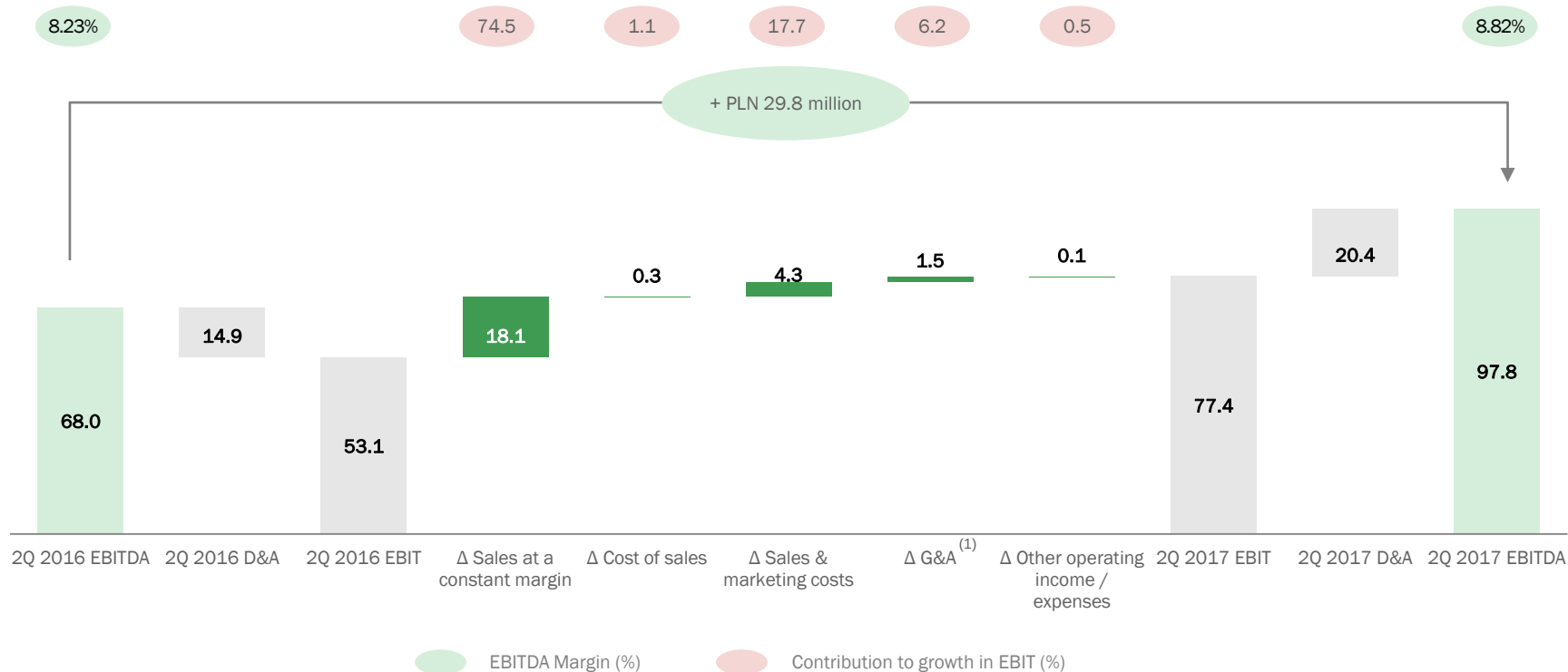


Source: Company financial statements

1. Adjusted for the IPO-related one-off expenses of: PLN1,1m in 2Q '16; PLN2,7m in 3Q '16; PLN3,7m in 4Q '16; PLN3,0m in 1Q '17 and PLN9,3m in 2Q '17

Q2 2017 EBITDA bridge

(PLNm)

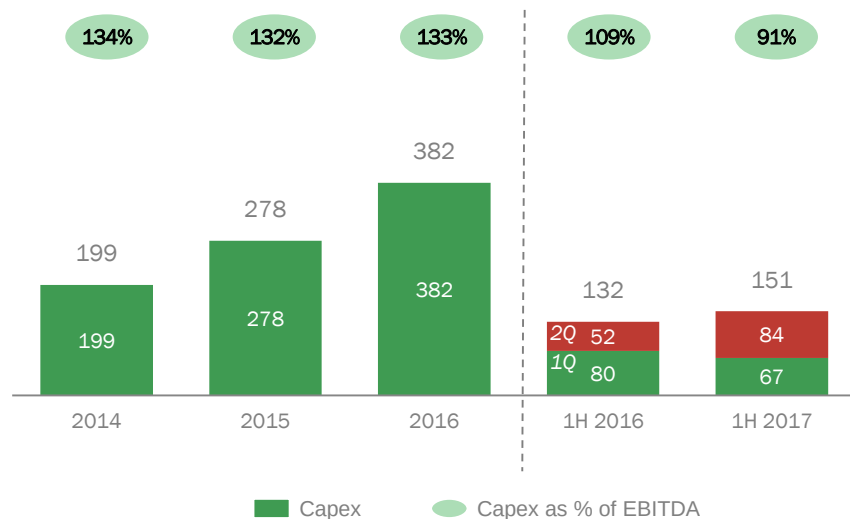


(1) Excluding one-off IPO costs of: PLN 1.1m in 2Q '16 and PLN9.3m in 2Q '17

Operating cash flow

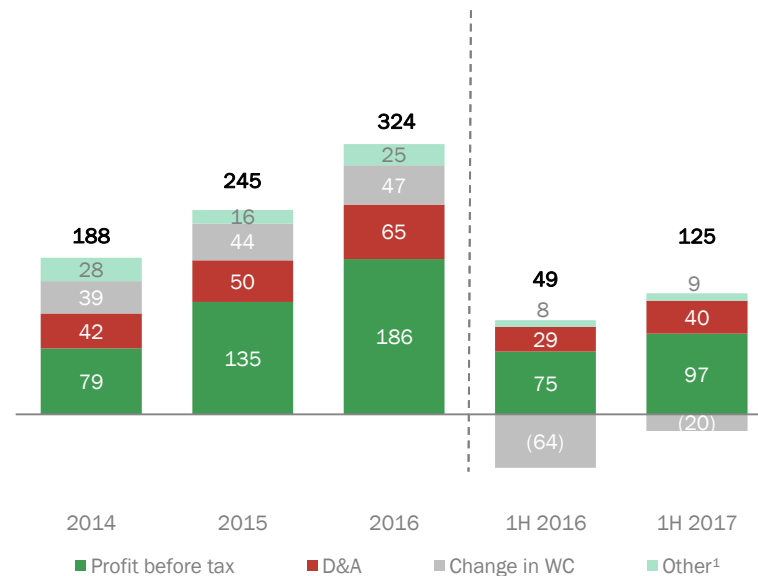
Capex

(PLNm)



OCF structure

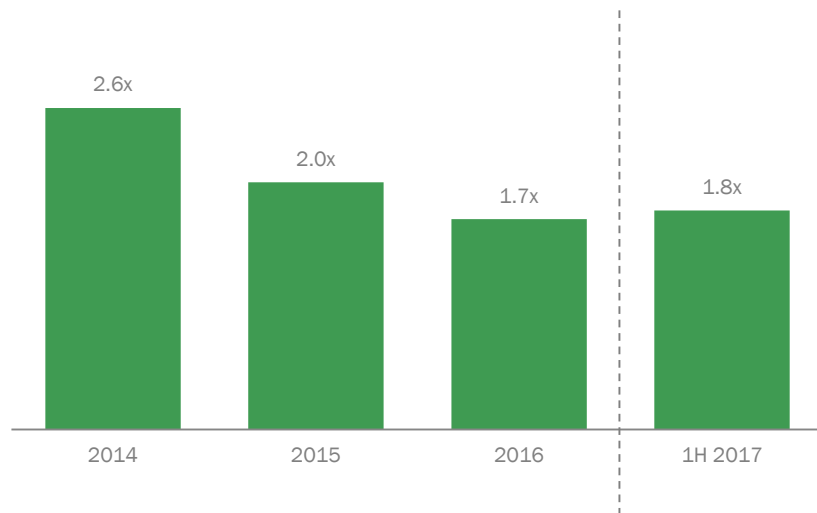
(PLNm)



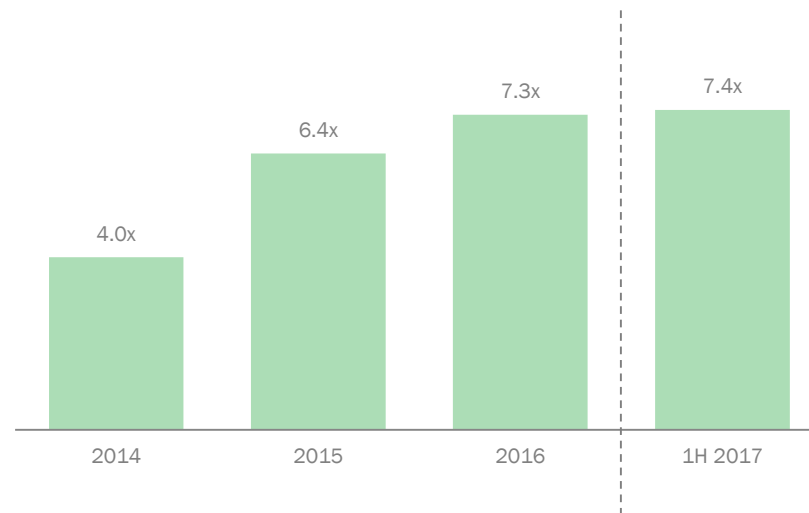
Source: Company financial statements
 (1) Net interest expense, tax expense, change in accruals and provisions, investment activity gains and other adjustments

Balance sheet

Net debt / EBITDA⁽¹⁾



Interest coverage ratio⁽²⁾



Source: Company financial statements

(1) Net debt to EBITDA defined as net debt divided by EBITDA (adj.) for the last twelve months

(2) Interest coverage ratio defined as EBIT divided by financial expenses for the last twelve months

Store roll-out



+49
1H 2017

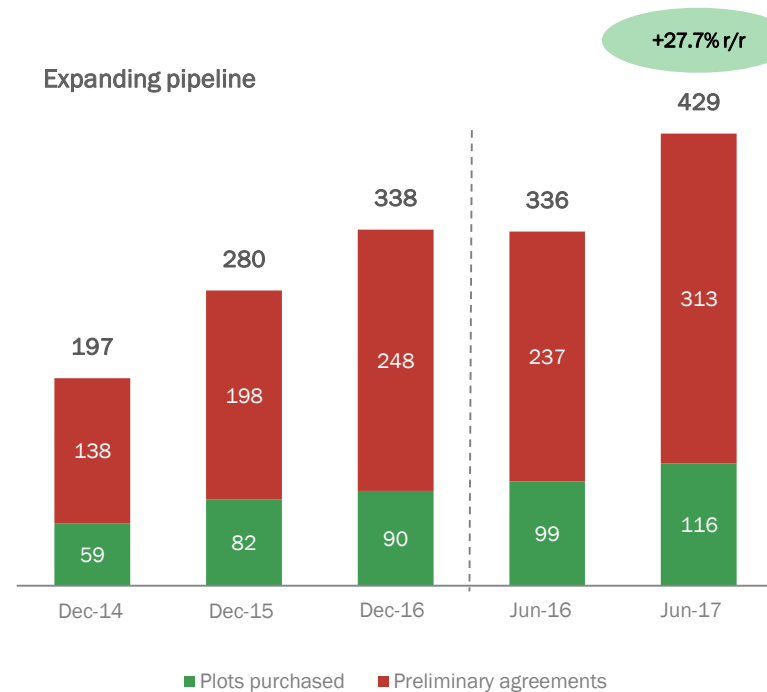
No. of newly opened stores



+27.7%
1H 2017
y-o-y

Store pipeline

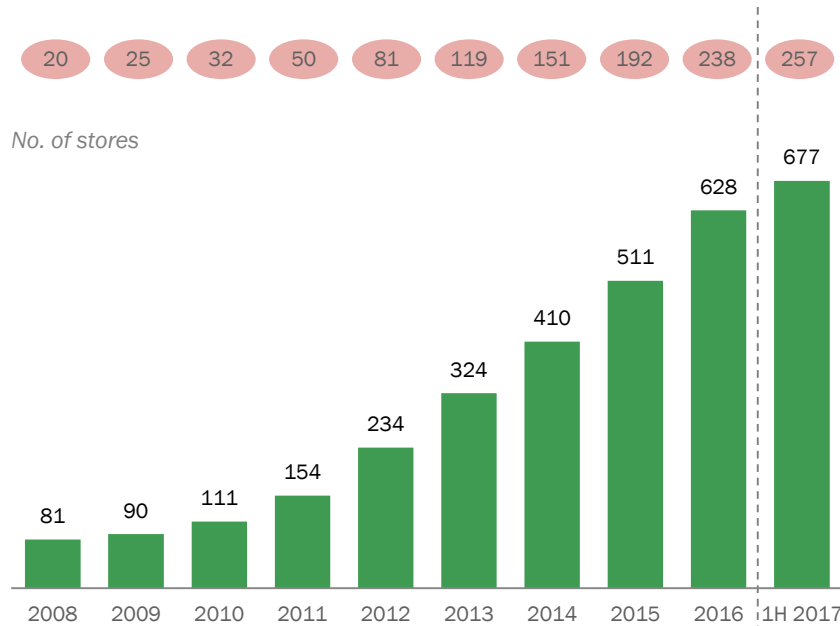
Expanding pipeline



Store roll-out

Network expansion to date

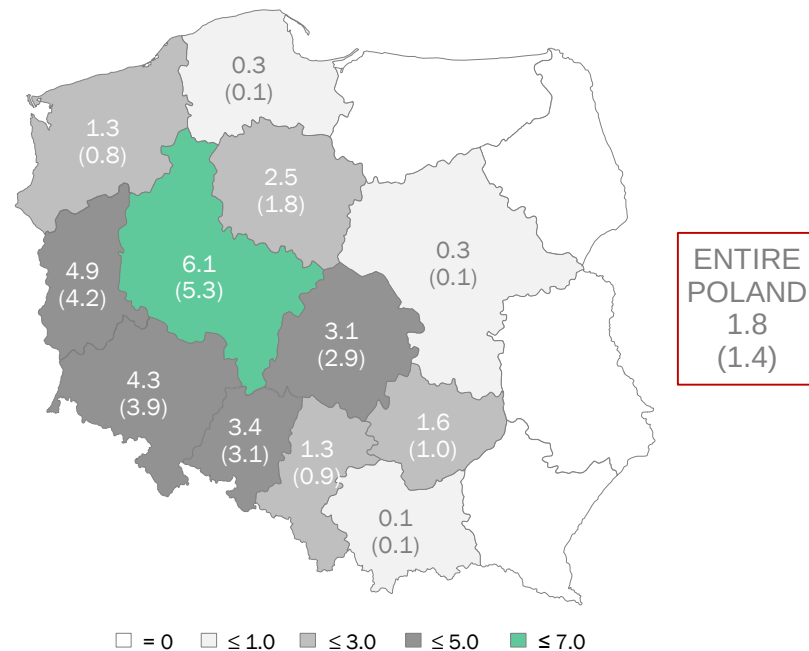
Net sales area ('000 m²)



Source: Company information

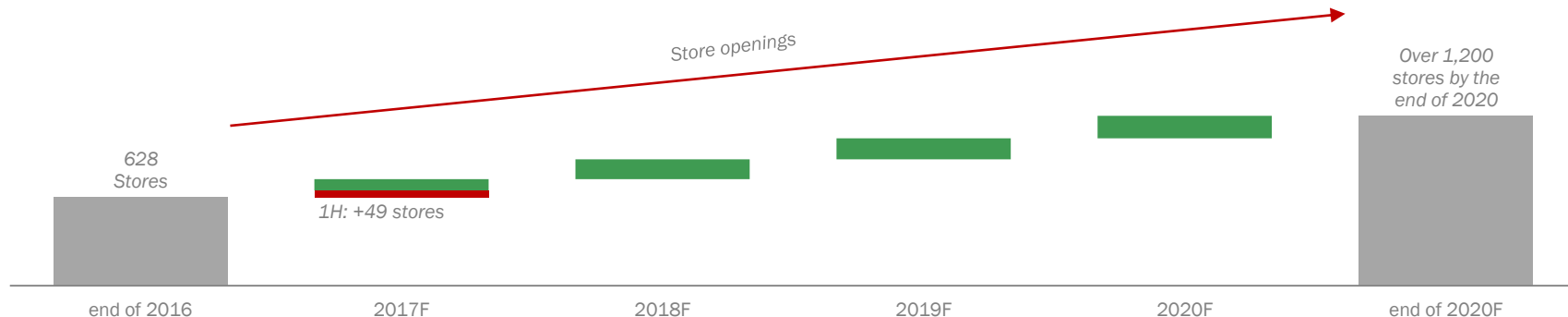
Regional coverage

Stores per 100k inhabitants as of June 30, 2017 (in brackets as of June 30, 2016)



Strategy update

1 Organic store roll-out



2 LFL growth

14.7%
LFL growth in 1H 2017
(vs 3.4% food inflation)

3 Improving profitability

+ 0.2 pp
Gross margin
improvement
in 1H 2017 y-o-y

+ 0.3 pp
EBITDA margin
improvement
in 1H 2017 y-o-y

Source: Company information

Q&A



Company financial statements (1/5)

Profit and loss statement²

(PLN '000)	2014	2015	2016	1Q 2016 ⁽¹⁾	2Q 2016 ⁽¹⁾	3Q 2016 ⁽¹⁾	4Q 2016 ⁽¹⁾	1Q 2017 ⁽¹⁾	2Q 2017 ⁽¹⁾	2Q'17 y-o-y +/(-),%
Sales	2,107,984	2,589,576	3,369,517	707,363	826,106	916,645	919,403	910,335	1,108,063	31.6%
Cost of sales	(1,644,080)	(2,004,710)	(2,599,005)	(547,725)	(640,102)	(705,374)	(705,804)	(701,744)	(858,315)	31.3%
Gross profit	463,904	584,866	770,512	159,638	186,004	211,271	213,599	208,591	249,748	32.6%
Other operating income	1,522	3,120	2,616	1,022	374	661	559	476	736	-13.2%
Selling and marketing costs	(324,634)	(391,580)	(505,855)	(113,285)	(123,030)	(137,364)	(132,176)	(149,746)	(160,725)	31.4%
Administrative expenses and general overheads	(31,338)	(35,354)	(49,434)	(8,603)	(11,261)	(14,092)	(15,478)	(12,903)	(21,417)	72.8%
Other operating expenses	(3,667)	(998)	(2,250)	(194)	(137)	(1,064)	(855)	(96)	(292)	17.2%
Operating profit	105,787	160,054	215,589	38,578	51,950	59,412	65,649	46,322	68,050	26.3%
Financial income	168	99	473	34	(7)	156	290	98	42	418.5%
Financial expenses	(26,662)	(24,922)	(29,607)	(7,769)	(7,351)	(8,034)	(6,453)	(8,415)	(9,438)	18.1%
Profit before tax	79,293	135,231	186,455	30,843	44,434	51,692	59,486	38,005	58,654	28.4%
Income tax	(13,156)	(13,059)	(35,245)	(7,456)	(6,696)	423	(21,516)	(7,550)	(11,967)	37.9%
Net profit from continuing operations	66,137	122,172	151,210	23,387	37,896	51,957	37,970	30,455	46,687	25.9%

Source: Company financial statements

(1) Unaudited

(2) Not adjusted for one-offs related to the IPO: PLN1,1m in 2Q '16; PLN2,7m in 3Q '16; PLN3,7m in 4Q '16; PLN3,0m in 1Q '17 and PLN9,3m in 2Q '17

Company financial statements (2/5)

Balance sheet									
(PLN '000)	2014	2015	2016	1Q 2016 ⁽¹⁾	2Q 2016 ⁽¹⁾	3Q 2016 ⁽¹⁾	4Q 2016 ⁽¹⁾	1Q 2017 ⁽¹⁾	2Q 2017 ⁽¹⁾
Assets									
Property, plant and equipment	798,948	1,024,199	1,337,207	1,090,826	1,180,504	1,260,513	1,337,207	1,386,389	1,496,962
Intangible assets	90,700	92,253	93,072	91,952	91,465	92,145	93,072	92,510	92,200
Other non-financial assets (long term)	1,885	-	-	-	-	-	-	-	-
Deferred tax assets	37,049	34,311	26,867	30,352	32,755	34,353	26,867	21,919	23,158
Total non-current assets	928,582	1,150,763	1,457,146	1,213,130	1,304,724	1,387,011	1,457,146	1,500,818	1,612,320
Inventories	182,286	212,146	276,541	221,320	221,273	234,936	276,541	290,707	306,906
Trade and other receivables	18,796	21,687	33,665	9,382	11,025	17,605	33,665	19,155	29,253
Income tax receivables	48	105	613	113	8	27	613	603	30
Other non-financial assets	13,515	20,742	22,447	28,618	28,982	26,318	22,447	32,395	36,856
Cash and cash equivalents	23,739	33,920	66,428	13,818	24,495	42,965	66,428	36,425	43,050
Total current assets	238,384	288,600	399,694	273,251	285,783	321,851	399,694	379,285	416,095
Total assets	1,166,966	1,439,363	1,856,840	1,486,381	1,590,507	1,708,862	1,856,840	1,880,103	2,028,415
Equity and liabilities									
Equity (attrib. to the equity holders of the parent entity)	410,073	532,235	683,476	555,653	593,549	645,506	683,476	713,962	768,118
Share capital	9,804	9,804	9,804	9,804	9,804	9,804	9,804	9,804	9,804
Reserve capital	316,048	393,019	510,720	510,720	510,720	510,720	510,720	790,168	1,111,860
Retained earnings	84,221	129,412	162,952	35,129	73,025	124,982	162,952	(86,010)	(361,046)
Non-controlling interests	-	-	-	-	-	-	-	-	-
Total equity	410,073	532,235	683,476	555,653	593,549	645,506	683,476	713,962	768,118

Company financial statements (3/5)

Balance sheet

(PLN '000)	2014	2015	2016	1Q 2016 ⁽¹⁾	2Q 2016 ⁽¹⁾	3Q 2016 ⁽¹⁾	4Q 2016 ⁽¹⁾	1Q 2017 ⁽¹⁾	2Q 2017 ⁽¹⁾
Interest-bearing loans, borrowings and finance lease liabilities	285,962	361,774	452,378	370,010	399,163	436,725	452,378	487,167	508,545
Other liabilities	-	-	300	0	758	0	300	270	270
Provisions for employee benefits	533	758	1,115	758	300	758	1,115	1,115	1,115
Deferred tax liabilities	1,572	588	5,498	3,410	7,930	3,856	5,498	6,206	6,280
Accruals	76	73	87	67	63	59	87	81	75
Total long-term liabilities	288,143	363,193	459,378	374,245	408,214	441,398	459,378	494,839	516,285
Current liabilities									
Trade and other payables	337,620	429,195	574,426	367,473	374,526	369,961	574,426	531,859	585,043
Current portion of interest-bearing loans and finance lease liabilities	118,187	101,504	110,173	178,255	199,276	237,514	110,173	112,531	124,875
Income tax liabilities	4,608	3,368	10,268	7	3,439	3,089	10,268	4,241	15,530
Accruals	8,286	9,796	13,227	10,676	11,431	11,322	13,227	14,831	18,338
Provisions for employee benefits	49	72	5,892	72	72	72	5,892	7,840	226
Total current liabilities	468,750	543,935	713,986	556,483	588,744	621,958	713,986	671,302	744,012
Total liabilities	756,893	907,128	1,173,364	930,728	996,958	1,063,356	1,173,364	1,166,141	1,260,297
Total equity and liabilities	1,166,966	1,439,363	1,856,840	1,486,381	1,590,507	1,708,862	1,856,840	1,880,103	2,028,415

Source: Company financial statements
(1) Unaudited

Company financial statements (4/5)

Cash flow

(PLN '000)	2014	2015	2016	1Q 2016 ⁽¹⁾	2Q 2016 ⁽¹⁾	3Q 2016 ⁽¹⁾	4Q 2016 ⁽¹⁾	1Q 2017 ⁽¹⁾	2Q 2017 ⁽¹⁾
Cash flows from operating activities									
Profit before tax	79,293	135,231	186,455	30,843	44,592	51,534	59,486	38,005	58,654
Adjustments for	109,185	110,163	137,868	(36,334)	9,564	18,287	146,351	(6,959)	35,574
Depreciation and amortization	41,880	50,177	65,202	14,492	14,918	17,246	18,546	19,176	20,418
Gain/(loss) from investing activities	417	193	1,574	(9)	65	198	1,320	21	158
Change in the balance of receivables	59,041	(10,808)	(15,592)	7,331	(547)	2,494	(24,870)	13,657	(17,271)
Change in the balance of inventories	25,464	(29,860)	(64,395)	(9,175)	49	(13,663)	(41,606)	(14,166)	(16,198)
Change in the balance of payables except loans and borrowings	(45,513)	84,204	127,224	(49,114)	(12,793)	9,604	179,527	(23,678)	37,556
Interest income	(153)	(60)	(440)	0	(27)	27	(440)	(19)	(19)
Interest expenses	26,486	24,955	29,658	7,652	7,216	7,934	6,856	8,471	9,516
Change in the balance of accruals	2,975	3,859	4,928	(3,497)	1,725	64	6,636	(4,489)	2,829
Change in the balance of provisions	249	114	6,178	0	0	0	6,178	1,948	(7,615)
Income tax paid	(1,639)	(12,599)	(16,507)	(4,052)	(1,042)	(5,617)	(5,796)	(7,918)	(1,262)
Other	(22)	(12)	38	38	0	0	0	38	7,462
Net CF from operating activities	188,478	245,394	324,323	(5,491)	54,156	69,821	205,837	31,046	94,228

Company financial statements (5/5)

Cash flow									
(PLN '000)	2014	2015	2016	1Q 2016 ⁽¹⁾	2Q 2016 ⁽¹⁾	3Q 2016 ⁽¹⁾	4Q 2016 ⁽¹⁾	1Q 2017 ⁽¹⁾	2Q 2017 ⁽¹⁾
Cash flows from investing activities									
Proceeds from sale of property, plant and equipment and intangibles	374	925	1,112	648	(1,453)	(3,085)	5,002	79	1,057
Purchase of property, plant and equipment and intangibles	(170,722)	(243,487)	(311,732)	(84,807)	(73,973)	(101,582)	(51,370)	(82,976)	(89,295)
Sell of other financial assets	-	-	-	0	0	0	0	0	0
Interest received	153	60	440	7	20	28	385	19	19
Net CF from investing activities	(170,195)	(242,502)	(310,180)	(84,152)	(75,406)	(104,639)	(45,983)	(82,878)	(88,219)
Cash flows from financing activities									
Payment of financial lease liabilities	(24,456)	(30,024)	(43,902)	(9,464)	(11,006)	(11,064)	(12,368)	(9,760)	(14,773)
Proceeds from loans and borrowings	111,653	141,770	219,061	98,814	62,358	87,597	(29,708)	57,489	41,393
Repayment of loans and borrowings	(72,771)	(79,502)	(127,136)	(12,150)	(12,216)	(15,256)	(87,514)	(17,430)	(16,487)
Interest paid	(26,486)	(24,955)	(29,658)	(7,659)	(7,209)	(7,989)	(6,801)	(8,470)	(9,517)
Net CF from financing activities	(12,060)	7,289	18,365	69,541	31,927	53,288	(136,391)	21,829	616
Net increase/(decrease) in cash and cash equivalents	6,223	10,181	32,508	(20,102)	10,677	18,470	23,463	(30,003)	6,625
Cash and cash equivalents at the beginning of the period	17,516	23,739	33,920	33,920	13,818	24,495	42,965	66,428	36,425
Cash and cash equivalents at the end of the period	23,739	33,920	66,428	13,818	24,495	42,965	66,428	36,425	43,050

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